CORPORATE GOVERNANCE COMPLIANCE REPORT

NovaTech Holdings NV | Financial Year 2023

Ref: VA/GOV/2024/0012 | Prepared: 28 March 2024 | CONFIDENTIAL

1. EXECUTIVE SUMMARY

1.1 This report has been prepared by Vandermeer & Associates NV at the request of the Supervisory Board of NovaTech Holdings NV (**"NovaTech"** or the **"Company"**) to assess compliance with the Dutch Corporate Governance Code (**"DCGC"**) for the financial year ended 31 December 2023.

1.2 Overall Assessment: The Company is **substantially compliant** with the principles and best practice provisions of the DCGC. Three areas require remedial action, as detailed in Section 5 of this Report.

1.3 This report is prepared for the exclusive use of the Supervisory Board and the Audit Committee. It is legally privileged and confidential.

2. BOARD COMPOSITION AND INDEPENDENCE

2.1 The Management Board comprises four (4) executive directors: the Chief Executive Officer, Chief Financial Officer, Chief Operating Officer, and Chief Technology Officer.

2.2 The Supervisory Board comprises six (6) members, of whom five (5) are assessed as independent within the meaning of best practice provision 2.1.7 of the DCGC. The Chair of the Supervisory Board, Mr. E. Brouwer, is independent.

2.3 Board diversity: As of 31 December 2023, 38% of Supervisory Board seats and 25% of Management Board seats are held by women, consistent with Article 2:166 BW targets.

2.4 **Finding:** One Supervisory Board member (Mr. A. De Graaf) has served for eleven (11) years. The DCGC recommends a maximum of three four-year terms. NovaTech should document the Supervisory Board's reasoning regarding reappointment.

3. RISK MANAGEMENT AND INTERNAL CONTROL

3.1 The Management Board has implemented an enterprise risk management framework aligned with ISO 31000:2018. Material risks are reported to the Audit Committee on a quarterly basis.

3.2 NovaTech maintains an internal audit function. The 2023 audit plan was approved by the Audit Committee and covered IT security, procurement processes, and financial reporting controls.

3.3 **Finding:** The Company's whistleblower policy has not been updated to reflect the requirements of the EU Whistleblower Directive as implemented by the Dutch *Wet bescherming klokkenluiders* (effective 18 February 2023). Immediate remediation is required.

4. LIABILITY FRAMEWORK

4.1 **Management Board Liability.** Under Article 2:9 BW, members of the Management Board may be held jointly and severally liable to the Company for improper management. Liability to third parties may arise under Article 6:162 BW (tort) where conduct amounts to serious personal culpability (*ernstig verwijt*).

4.2 **D&O Insurance.** NovaTech maintains Directors' & Officers' liability insurance with an aggregate limit of **EUR 25,000,000** per claim, subject to standard exclusions including wilful misconduct and criminal acts. The Firm recommends the Company review retroactive coverage for pre-acquisition liabilities following the NovaTech-Axion acquisition completed in Q2 2023.

4.3 **Discharge (Decharge).** The Annual General Meeting of 15 May 2023 granted discharge to both Boards for conduct during FY 2022. Discharge for FY 2023 will be sought at the AGM scheduled for May 2024.

4.4 **Indemnification.** The Company's Articles of Association provide for indemnification of current and former board members against costs and liabilities incurred in connection with proceedings arising from their functions, to the extent permitted by law and not covered by insurance.

5. REMEDIAL ACTION PLAN

#	Finding	Required Action	Target Date
1	SB tenure (2.4)	Document board decision on reappointment	30 Apr 2024
2	Whistleblower policy (3.3)	Update policy to comply with Wet bescherming klokkenluiders	31 May 2024
3	D&O retroactive cover (4.2)	Review and extend policy retroactive date	30 Jun 2024

6. CONCLUSIONS

6.1 NovaTech Holdings NV is substantially compliant with the DCGC for FY 2023. The three findings identified are remediable and do not represent material governance failures.

6.2 Subject to implementation of the Remedial Action Plan, the Supervisory Board may confirm in the FY 2023 Annual Report that the Company applies the DCGC principles and, where deviation occurs, has adequately explained such deviation.

Vandermeer & Associates NV
Corporate Advisory Practice
28 March 2024